

TRADER'S GUIDE



The Trader's Guide

About this guide

The Trader's Guide marks the start of a new era aiming to promote transparency and increase awareness about the laws and regulations governing the commercial sector.

It has been prepared in a way that explains the necessary steps to introduce a business and layout a correct course of action as prescribed by the Ministry of Commerce.

The guide provides a comprehensive explanation for the definitions of the commercial registration and how to apply for it through the Ministry's e-portal, as well as outlining the issuance fees, instructions for how to enquire about the availability of a business name and the trademark requirements.

The Trader's Guide outlines the requirements for individual enterprises and companies specialized in the precious metals and precious stones sector.

It clearly sets out businesspersons obligations and rights, including the definitions of commercial fraud offenses and the requirements for reductions and trade contests.

The Trader's Guide provides a definition of temporary and collective trademarks, as well as their owner's rights, along with a definition of trademark violations under the Trademark Law.

The guide defines commercial agencies, their parties, and specifications to ensure the appropriateness of the commercial process, as well as the procedures for recalls on vehicles, accessories, and spare parts.

The guide identifies the penalties for money-laundering practices and the penalties for violating the legislation and the laws by making illegal practices appear legitimate. It delineates commercial concealment practiced by non-Saudis and how this practice allows the foreign investor to work for his or her own benefit.

The Trader's Guide outlines all of the controls that ensure the interaction between the trader and the government on the one hand, and the trader and the consumer on the other.

The Ministry of Commerce hopes that the guide will be the start of building a transparent relationship for the parties of the trade process and benefit the commercial sector and raise it up to international competition levels.



Index

How do you start your business?

- Choose a trade name
- Reserve the trade name
- Apply for issuance of a commercial register
- Pay the commercial registration issuance fees

Trader's obligations and rights

- E-Commerce Law
- Franchise Law
- Professional Companies Law
- Consulting professions
- Board of Directors' rights
- Anti-Commercial Fraud Law
- Regulations of Discounts and Trade Competitions
- Precious Metals and Gemstones Law
- Commercial Agencies Law
- Regulations for Vehicle Recall, Accessories and Spare Parts
- Business Data Law
- Supplying Rules
- Anti-Money Laundering Law
- Commercial Concealment Law
- Regulations for Practicing the Profession of Expediter
- of Transactions in Governmental Entities
- Energy Efficiency Program

Services rendered

- Trade Name
- Commercial Register
- Business entity
- Consulting professions licenses
- Commercial agency
- Certificate of Origin
- Commercial Attaches Overseas



How do you start Your business?

1 Choose a trade name

Trade name:

It is the name that is used to define a business project and is legally registered to be used in contracts, official positions, or for commercial purposes.

The name can be chosen and verified by using the trade names to check if it available on the Ministry of Commerce website. The service allows the beneficiary to inquire about a trade name and its status (whether used or not used), with the possibility of knowing all the trade names that contain part of the name if searched.

The service also shows:

Trade Name

Number of the
commercial register

City

Type of register

Status of register

There is no need to be physically present at the Ministry's location.
The processing of this service takes one business day.

Common mistakes of trade names:

Registering a non-Arabic trade name
(except for foreign companies registered overseas, companies with world-famous names and companies with joint capital)

Registering a trade name using forbidden names such as:
Names with religious overtones
Names with inappropriate meaning
Names related to events or incidents

This link will take you to the service

www.mc.gov.sa

2 Reserving a trade name:

The business name booking service can be accessed via the main page or the right menu of the system services on the Ministry of Commerce website.

Reserving a business name (companies)

How do you start your business?

Applying for a business name reservation (companies):

- 1 Access the company services portal
- 2 Choose "Reserving a new business name" icon
- 3 Choose "A new reservation" icon

Issuing a new register:

A customer can issue a new electronic commercial register in:

180 Seconds
if it is an establishment

30 Minutes
if it is a company

No need to come to the Ministry.

Obligations

- The merchant must clearly write the name and commercial registration ,number from the registration certificate on the store signs, prints invoices, and seals in Arabic.
- The trader must abide by the commercial register business activity.

Violations

- Failure to write down the name of a commercial registration number on store signs, prints, invoices, or seals in Arabic and in a clear manner is a violation of the Ministry of Commerce's laws.
- Every merchant must apply to have his name included onto the commercial register within his/her commercial store, whether it is a main center, branch, or agency.

This service can be accessed through

www.mc.gov.sa



How do you start your business?

4 Payment of a commercial register issuance fees:

Commercial register fees:

Head office	Branch
200 riyals	100 riyals

Subscription to the Chamber of Commerce is necessary in accordance with the Chamber of Commerce Subscription Regulations for Individual Establishments, which include:

Category	Subscribers	Fees
3	Contractors of ,various grades real estate offices, and commercial agents	800 riyals
4	The rest of categories	300 riyals



Rights of owner and categories permitted to register:

- A person who has applied for a trademark registration has the right to have the application decided on by the competent body **within ninety days** of its filing.
- If the registration is rejected or suspended on condition, the applicant has the right to appeal the decision of the competent authority to the grievance committee **within sixty days** of being informed.
- **Everyone has the right to file an objection before the competent authority over the registration of a trademark that has been published by the competent department in order to register it.**
- The registered trademark owner has the right to protection during the duration of validity of the certificate of protection.

Penalties

1

Punishable by imprisonment for no less than one month and no more than three years.

And a fine of 5,000 to 100,000 SAR

For each of the following (or one of these two penalties)

■ Falsify in such a way that the public or anyone is maliciously misled by a fake or counterfeit sign.

■ Maliciously used another's trademark on his or her products or in connection with the services rendered.

2

Punishable by imprisonment for a period of not less than one month nor more than one year (according to the trademark law)

And a fine not less than 1,000 to 100,000 SAR



For each of the following (or one of these two penalties)

He sold or offered for sale items bearing a fake or counterfeit mark with his knowledge.

Without any rights to his or her trademark, paperwork or trade documents, which gives the impression that the trademark has been registered.

Repetition of violations shall be punished with a penalty not exceeding twice the maximum penalty prescribed for the violation, with the closure of the business or project for a period of not less than fifteen days and not more than six months, and with the publication of the sentence at the violator's expense.

Trader's obligations and rights

1 E-Commerce Law

Key data of an e-store:

Highlighting the basic data in the online store increases the reliability of the merchant's products and services, the consumer feels safe during the process of purchasing goods and obtaining services. It also facilitates communication between the parties in the purchasing process and allows all parties to quickly access the store and inform them of developments or consumer complaints to work on them and gain their trust.

For additional information on the e-commerce system, please read the guidelines of electronic commerce law.

In his or her online store, the merchant must include the following:

- Unless it is registered with one of the e-commerce notaries, his or her name or any unique statement about him or her and his or her address, such as "Maroof".
- The name of the record in which it is registered, as well as the record number "if any."
- Contact information for him or her.
- The Privacy Policy contains safeguards for consumer data.
- Procedures for receiving and handling customer complaints.
- Tax ID number, if any.

E-commerce advertisement regulations

The e-commerce law requires compliance with the requirements of electronic commercial advertising, and electronic advertising is considered one of the contractual documents supplementing the contracts and binding for the contract parties, and the system prohibits the display of any misleading or deceptive information to the consumer in the contents of the advertisement or the manner in which it is formulated in order to protect consumer rights and prevent fraud.

The following items must be included in the Electronic Declaration:



Explain that it is promotional material.



The promoted product or service's name.



The service provider's name and any identifiable statement, unless it is registered with one of the electronic notarial platforms, such as "Ma'roof platform."



Contact information for the service provider.



Provide a method for the consumer to request that advertisements be stopped, and the service provider must respond to incoming requests.

Trader's obligations and rights



OBLIGATIONS

It is illegal to incorporate the following in electronic advertising:

- An offer, statement, or claim that is false or phrased in a way that will deceive or mislead the consumer, either directly or indirectly.
- A logo or trademark that the service provider does not own, or a counterfeit trademark.



PENALTIES

- **If it is determined that the service provider breached the law's provisions,** the Ministry of Commerce has the authority to compel him or her to remove the advertisement or withdraw the violating advertisement, and the perpetrator will be liable to the law's penalties.
- **Incorporating the Internet store into the commercial register:**
On the Ministry's website, an electronic application is submitted in the name of the merchant / practitioner, which includes:
 - Applicant's name
 - Number of commercial register (of the trader)
 - Activity details
 - Description of store and address

The merchant is required to include his or her store into the commercial register within 30 days of its opening.

E-store authentication using "Ma'roof":

According to the executive regulation of the e-commerce law, the Ministry has established a website for documenting e-stores, to which notaries wishing to obtain a license are linked, and the "Ma'roof" platform is the approved platform for documenting e-stores and licensing for those wishing to notarize, and "Ma'roof" serves all customers in the field of e-commerce from "merchant, practitioner, shopper," and works to increase the chances of success and trust.

Maroof is :

- An approved documentation platform.
- It contains a long list of trusted electronic stores.
- It increases the trustworthiness of transactions between merchant, practitioner, and shopper.



Trader's obligations and rights

"Maroof" online store services:

- Use an approved platform to view and document data.
- Allow for the acquisition of a "recognized stamp" after the prerequisites are met and the shopper is satisfied.
- Provide dependable service upon registration.

To receive an e-store authentication license, go to "Maroof":

Entities wishing to authenticate must obtain a license allowing them to connect to the "Maroof" platform and engage in the activity by submitting an application that includes:

- Technical and administrative capabilities are defined.
- Services given are described in detail. Explaining the documentation method.
- Methodology for documentation clarification.
- The mechanism for preserving and protecting data.
- The policy for dealing with the termination of service provision.
- Policy for addressing complaints and how to handle them.
- Electronically documented store data to the Ministry.
- The liaison officer in charge of supplying data.
- Any information or documents needed by the Ministry.

How to verify your online store?

If you own an online store and want to validate it, go to one of the authorized notaries linked with the "Maroof" platform, which includes:

- Information on commercial registration (if applicable).
- The platform associated with the store, as well as a link to its website, are described.
- The names of the store's authorized signatories.
- ID information

The notarial statement is issued and published on the notarial authority's website, and the notarized is required to notify the authority within 30 days of any change to the notarized data.

Law violations:

If the service provider violates any of the provisions of the legislation or regulation, the minister-or his deputy-may, in urgent and necessary instances, take the decision to block the e-store in conjunction with the appropriate authorities. - The violation is referred to the committee in charge of considering violations of the law's or regulations' provisions and signing the law's penalties within a maximum period of 3 days, taking into account the blocking of the electronic store; provided, however, that the committee makes its decision on the violation within a period not exceeding 10 days as of the date of referral, and the committee may suspend the committee's decision partially or completely if there is proper justification.



PENALTIES

Without prejudice to any more severe penalty stipulated by another system, anyone who violates any of the system's or regulation's provisions will face one or more of the following penalties:



Warning



A fine of up to one million riyals.



Temporarily or permanently suspend e-commerce activity.



Blocking the online store - partially or totally, temporarily or permanently - in collaboration with the appropriate authorities.

2 Franchise Law

It is the grant of the right by a person known as the franchisor to another person known as the franchisee to conduct business on his or her own account, in connection with the trademark or trade name owned by the franchisor or the licensee to use it. This includes providing technical expertise and technical knowledge to the franchisee and determining the method of operating the franchise business, in exchange for financial or non-financial remuneration that is not calculated as part of the amounts paid by the franchise holder to the franchise guarantor for commodities or services.

The following are the primary characteristics of the franchise law:

- The requirements of the law apply to any franchise agreement entered into within the kingdom.
- Franchisors must disclose the most significant risks, rights, and obligations associated with the options for structuring franchise renewal arrangements.
- Agreement for the assignment of a commercial franchise.
- Putting a minimum of experience on the franchisor in order for him to be granted the franchise.
- Organize the provisions for the franchise agreement's renewal and termination.

The franchise law's goals are as follows:

- **Increasing franchise activity in the Kingdom**
Through the establishment of a regulatory framework that regulates the relationship between the concessionaire and the franchisor with the establishment of the principle of contract freedom, and the establishment of foundations for this relationship to be based on the principle of transparency.
- **Provide the franchisor and its grantee with the necessary protection,** particularly at the end of the franchise agreement.
- **Ensure that all rights, duties, and risks associated with franchise possibilities** are disclosed in order to assist potential franchisees in making sound investment decisions.
- **Increase the quality of goods and services available in the Kingdom and assure their continuance.**



3 Professional corporate law

It is a legal framework that governs the life of professional companies from their induction to their expiration, including determining the types of companies that apply to a professional company, organizing its business, and governance of its management, in order to ensure growth, competition, and a greater role in serving the national economy. This law seeks to increase the level of confidence in the dealings of online businesses.

In the new professional corporate law

- Partnership company
- Special limited partnership
- Joint-stock company
- Limited-liability company

Key features of new professional law companies

- According to appropriate rules, it is permissible to establish a professional company with limited liability of one person to conduct one or more Consulting professions.
- The professional company may adopt the form of a special limited partnership company, a limited liability company, or a joint stock company.
- It is permissible to transfer the ownership of a deceased professional partner to his or her heirs using simplified procedures.
- It is permissible to form interdisciplinary professional companies in accordance with the rules In addition to the form of a partnership company permitted by the old professional companies law.
- Non-professionals (investors) with Consulting professions might be involved in professional companies.

The following are the goals of the new professional corporate law

- Motivating Consulting professionals to start their own businesses.
- Encourage professional firms to have corporate organization and create powerful entities in order to advance their careers.
- Providing consultants with the ability to lead competitive professional firms both locally and globally.
- Organizing the rights and obligations of professional company partners or shareholders.
- Increase and improve professional services job opportunities.
- Facilitating financing for the development and expansion of professional firms through professional company investors.
- Increase clients' trust in professional businesses.



Consulting professions

It is the profession in which a real person practices a service to others on his or her own account, without a work contract with the beneficiary of the service, subjecting him or her to accountability and supervision.

The service allows the customer to issue a license for Consulting professions such as administrative, economic, translation, educational, industrial, financial, security, and so forth.

Professional license:

This is the ministry's professional permit to practice the consulting profession.

The following are the conditions and prerequisites for acquiring a professional license:

- The applicant must be a Saudi national or a citizen of one of the Gulf Cooperation Council member countries.
- Be unattached to any government position.
- A bachelor's degree from a recognized institution or college in the Kingdom is required, as well as any other credential from outside the Kingdom equivalent from the Ministry of Education.
- If the certificate of scientific qualification originates from within the kingdom and is in English, it is translated by a recognized translator's office.
Except for management consulting, translation, and financial consulting licenses, the scientific qualification must be connected to the profession in which he or she intends to receive a license to practice (for non-securities).
- The work experience must be documented in the social insurance or the Ministry of Human Resources and Social Development, be compatible with the scientific qualification, and be related to the profession in which he wishes to obtain a license to practice, with an experience certificate from the authority proving the work experience and job title in Arabic, and be certified by the embassy in the event that the experience was gained outside the Kingdom.
- The required number of points for professional licensure is determined by scientific qualification and work experience.
- Licenses are divided into three types: (Practitioner-specialist-expert) based on the applicant's scientific qualifications and practical experience.

The following are the conditions and prerequisites for acquiring a sub-professional license:

- The license must be issued in a city other than the city of the primary license.
- It necessitates the existence of an employment contract between the license holder and the branch manager.
- The presence of the director's scientific certificate and a speciality in the field of licensing are required.
- It necessitates the presence of a social insurance confirmation.
- The manager's personal status is required.
- It should only be linked to the office's work.



Trader's obligations and rights

List of Consulting professions to which the Consulting professions rules apply

				
Economic consulting	Management consulting	Educational and pedagogical consulting	Hotel consulting	Translation profession
				
Geographical consulting	Mining consulting	Industrial consulting	Physical consulting	Non-securities financial consulting
				
Computer consulting	Agricultural consulting	Geophysical consulting	Geological consulting	Chemical consulting

Licenses for which the relevant authorities must approve the license and are based on the category of consultant, namely:

1. Ministry of Interior - licensing of the security consulting profession.
2. Ministry of Interior - protection and fire prevention services licensing.
3. Saudi Central Bank - insurance consulting license.
4. The authority of Chartered Accountants-Zakat and Income Tax Services Licensing.
5. Association of Chartered Accountants - Value Added Service Licensing.

The license is valid for (three) years and may be renewed for similar periods if the licensee submits a request at least (sixty) days before the licensing period expires.

Following are the steps:

- The customer will receive a notice message once the application and issuing of the professional license has been completed
- Following that, the professional license is delivered via e-mail.
- The email address is validated in order to print the license.

	QUALIFICATION	SPECIALIZATION	POINTS OF ACADEMIC DEGREE	POINTS OF EXPERIENCE	DEGREE OF LICENSE		
					PRACTITIONER	SPECIALIST	EXPERT
1	BA	IN FIELD OF SPECIALIZATION	4	FOR THE PURPOSES OF ACQUIRING A LICENSE, ONE YEAR OF WORK EXPERIENCE IS EQUIVALENT TO ONE POINT. THE LOWEST LICENSING LIMIT TO OBTAIN	MINIMUM REQUIREMENT FOR THE LICENSE 10 POINTS	MINIMUM REQUIREMENT FOR THE LICENSE 15 POINTS	MINIMUM REQUIREMENT FOR THE LICENSE 20 POINTS
		IN NON-SPECIALIZATION	2				
2	MASTER	IN FIELD OF SPECIALIZATION	2				
		IN NON-SPECIALIZATION	1				
3	PHD	IN FIELD OF SPECIALIZATION	2				
		IN NON-SPECIALIZATION	1				

5 Board of Directors' rights

These are professional permits provided by the Ministry to certain individuals to allow them to practice a Consulting profession within the ministry's jurisdiction.

Partners' rights in limited liability companies, partnership, and recommendation:

- In line with the rules of the company's articles of association , he or she may assign his or her share to one of the partners or to third persons.
- The appointment of the director is specified in the foundation contract or an independent contract. If there are several directors, two boards of directors may be formed.
- Removing the director or directors.
- Examining the company's documents in the 15 days before the yearly accounts are presented.

Obligations

- Each partner is required to provide his or her pledged portion by the period set.
- If a partner decides to transfer his or her stake to another, the company's director will notify the other partners.
- If the number of partners surpasses 20, form a supervisory board.
- Confidentiality must be maintained.

Directors' duties and rights in limited companies:

- Demand compensation if they were fired for an illegal or untimely reason.
- Call the General Assembly whenever one wants.
- Use the authority entrusted to them by their partners.

Obligations

- Within 30 days, publish the memorandum of association on the Ministry's website.
- The company must be registered in the commercial registry within 30 days.
- Compensation for any damage caused to the company, partners, or third parties as a result of any violations or errors committed by them while performing their duties.
- Within three months after the end of the fiscal year, prepare financial statements and reports on the company's activity, financial status, and profit distribution, and deposit them in the Qawaem Program.

Trader's obligations and rights

Members of the board of directors of joint-stock companies have the following rights and obligations:

- The board of directors may outsource specific tasks to one of its members or to a non-member.
- If the company's articles of association do not include this, the board of directors shall devolve the responsibilities to the chairman of the board and the managing director and set their remunerations.
- If the chairman of the board, his or her deputy, the managing director, and the secretary are dismissed from the board of directors for an illegal reason or at an unsuitable moment, they have the right to seek compensation.
- Except where expressly prohibited by a particular provision in the basic legislation or the company's statutes, the board of directors has the authority to administer the company in order to fulfill its goals.

Contributions:

- Provide financial statements and an audit report to shareholders.
- Preparing and depositing the company's financial statements and reports on its activity and financial situation for the previous fiscal year in the Qwaem program.
- The most notable shareholder rights in joint-stock corporations Except with a prior license, a member of the Board of Directors may not have any direct or indirect interest.
- Members of the board of directors may not vote on the issue of their release from responsibility for the company's management.

The most notable shareholder rights in joint-stock companies:

- Regardless of the number of shares he or she owns, the subscriber is entitled to attend the Constituent Assembly.
- Make a nomination for himself or others to the board of directors.
- A shareholder who owns %5 of the stock may request to convene the General Assembly.
- Discuss the assembly's work and express questions to the board of directors.
- Get a share of the profits.
- Obtaining a portion of the company's assets in the event of liquidation.

Obligations:

- The founder who provides an in-kind share is responsible for the accuracy of his share.
- The subscriber and owner of the shares must follow the company's bylaws as well as the decisions of the shareholders' assemblies.
- During the Prohibition period, no shares may be traded (two consecutive fiscal years).
- On the dates mentioned, pay the value of the shares.
- It is not permitted to obtain a refund on his or her capital investment in the company.

6 COMMERCIAL DECEPTION

The adulterated product:

- Every item that has been modified or tampered with.
- Each product fails to meet the established standard criteria.
- The product has spoiled and is no longer fit for human or animal consumption, and its expiration date has passed.
- If it displays evidence of tampering or damage.
- If the shape, color, taste, or odor of its natural qualities or components has changed.
- If it contains worms, larvae, or insects.
- The appearance of unworthiness in a product following its inspection.

The product is deceptive if it is advertised, displayed, or marketed using false, deceptive, or misleading information that is contradictory to its true condition.

Obligations:

Dear trader, engaging in all or some of the following actions constitutes a violation of the anti-fraud trading system's provisions:



- It is illegal to prevent court personnel from carrying out their duties during a search and seizure.



- Possession, display, or sale of a false product with the goal of trading, making a product that does not conform to recognized specifications and standards, or utilizing utensils, containers, wrappers, packaging, or labels that do not conform to approved specifications and requirements.



- The merchant is not permitted to dispose of the questionable product until the results of the examination are made public with his approval.

Penalties:

- Whoever violates the Anti-Commercial Fraud Law is subject to a fine of up to (1,000,000) million riyals or imprisonment for a period not exceeding three years, or both.
- The confiscation and destruction of counterfeit goods, as well as the confiscation of tools used in fraud or deception, constitute proof of product fraud.
- A SR1,000,000 fine.
- three years in prison.
- Goods subjected to confiscation and destruction.

Trader's obligations and rights

Trader's rights:



When possible and their legitimacy has been confirmed, the merchant has the right to return withdrawn samples of high material value following investigation.



A trader convicted of breaching the terms of the commercial fraud law has the right to file an appeal with the competent court to resolve disputes and compensation claims originating from the application of the law's provisions.

Trade competitions and discounts:



Partial discounts:

It is a license provided by the Ministry of Commerce to stores that seek to make partial discounts of at least 50% on the products sold in the store and is only allowed to do so three times each year.



Comprehensive discounts:

It is a license provided by the Ministry of Commerce to retailers that want to offer extensive discounts if all of the exhibits in the store are subject to it; he or she may only do so three times per year.



Seasonal discounts:

This is a license issued by the Ministry of Commerce to stores that want to provide discounts without losing any of their available discount balance two weeks before the start of special seasons.



General price cuts:

It is a license issued by the Ministry of Commerce to stores that seek to undertake a final liquidation of the store owing to leaving the trade, changing the type of activity, undertaking extensive improvements in the store, or moving it from one location to another.

To obtain the service, please go to

www.mc.gov.sa



Commercial reductions

This is a license granted by the Ministry of Commerce to shops that want to hold a specific commercial competition for a specific purpose and location, in a way that does not violate Sharia principles or well-known customs in the Kingdom, twice a year, provided that the competition does not last more than (60) days at a time.

Trader's obligations and rights



Obligations

- It is not permitted to offer price reductions on items, hold trade competitions, or advertise them in any way without first receiving a license from the ministry.
- The licensee must display the license or a copy of it in each store and maintain the approved pricing list throughout the license period.
- The overall discount rate cannot be less than %10 of the price for the month preceding the start of the discounts.
- The retailer must prominently show the price before and after the discount on the products covered by the discount, and it is not permitted to display additional discounted products that are not included in the list covered by the license.



Penalties

- Anyone who has reduced the prices of items or held commercial competitions without getting a license from the Ministry faces a fine of not more than (50,000) riyals or imprisonment for not more than six months, or both.
- If the violator commits any of the violations specified in this law again within five years of the date of the final judgment, he or she shall be punished with a penalty not exceeding twice the maximum penalty prescribed for the violation; if he or she returns, he or she shall be barred from engaging in commercial activity for a period not exceeding five years (in addition to the prescribed penalties).
- A 50,000 riyal fine.
- 6 months in prison.
- Double penalty for violation.



Trader's obligations and rights

Precious metals and precious stones are defined as follows:

■ Precious metals

They are gold, silver, and platinum, and they come in the form of crafted goods, ingots, or coins.

■ Gold workpieces:

At least 18 carats of pure gold are used in each piece of metal (750 parts per thousand).

■ Silver workpieces:

At least (800 parts per thousand) of pure silver is present in every piece of metal that is processed.

■ Platinum workpieces:

They are any metal pieces that contain at least (850 parts per thousand) Pure Platinum.

■ Low-caliber workpieces:

These are precious metal workpieces with proportions lower than those indicated in the preceding paragraphs.

■ Coated items:

Each non-precious metal item is covered with adhesive foil of precious metal of a higher caliber than the low caliber.

■ Painted items:

Each non-precious metal item is covered with a coating of precious metals by electrical or chemical means,

and silver objects coated with gold or Platinum are considered silver artifacts, and gold objects coated with Platinum are considered gold artifacts.

■ Unmolded and semi-molded articles:

Ingots are classified as unmolded. Wires, rods, pipelines, plates, and other similar things are classified as half-molded.

■ Precious stones:

They are natural stones found in nature, such as diamonds, emeralds, rubies, sapphires, and natural pearls.

■ Semi-precious stones:

These are natural stones found in the ground that are not precious stones.

■ Artificial stones of high value:

They are man-made stones with chemical compositions that resemble precious and semi-precious stones.

■ Fake Stones:

They are man-made objects composed of glass or other materials and molded to resemble valuable precious, semi-precious, or fake stones, such as imitation pearls and coral.

The standard sizes of precious metal workpieces and alloys are

■ Crafts made of gold:

- 22 carats of pure gold (916.6 ppm).
- 21 carats of pure gold, or 875 parts
- 18 carats of pure gold, or 750 parts

■ Platinum workpieces:

- 950 shares, or parts per thousand of pure platinum
- 850 shares, or parts per thousand of pure platinum

■ Silver workpieces:

- 925 pure silver shares or parts per thousand
- 900 shares of pure silver, or parts per thousand.
- 800 shares of pure silver, or parts per thousand.

■ Precious metal bullions:

The caliber is regarded right and systematic if the inspection reveals a deficiency of no more than four shares or a portion of the millennium percentage of pure precious metal in platinum, gold, and silver works.

Obligations

- **The sale, offer or possession with intent to sell is prohibited in respect of:**
- Precious metal workpieces that are not stamped with their real caliber according to one of the standard calibers and are marked with the manufacturer's or importer's mark are forbidden from the selling, offering, or possession with intent to sell.
- The sale, display, or possession of single precious stones for the purpose of selling is not accompanied by a declaration from the owner of the business stating the name of the stone, its class, weight, color, level of quality, in terms of purity, properties, and safety from breakage and scratching, as well as any other defects.
- Unless accompanied by a card stating the type of stone and its weight, semi-precious and artificial stones with a single value.
- Counterfeit gold, silver, or platinum commemorative coins and medals issued by the government and removed from circulation unless they are completely identical to the original in terms of caliber, weight, size, shape, and design and stamped with their actual caliber and the maker's or importer's trademark.
- As an exception, it is possible to install anything similar to the Saudi pound on the relics, provided that its caliber corresponds to the caliber of the artifacts and its weight does not exceed two grams only.
- Workpieces that deviate from the standard calibers, as well as those painted and clothed with precious metals.
- Precious metal functions if the weight of something other than the precious metal exceeds 5% of its total weight, unless the weight of something other than the precious metal, as well as the weight and price of the precious metal, are specified in the sales invoice, regardless of whether the seller is a wholesaler or a retailer.
- Imitation stones could be single or group.

Owners of precious metal shops and workshops should follow the following guidelines:

- It is illegal to practice in the industry or participate in the commerce of precious metals and other valuable stones without attaining a license from the Ministry of Commerce.
- The licensee must retain the precious metals license and the store's Commercial Register, or a copy of both, in his or her place.
- Every precious metal operator or importer must apply to the Ministry of Commerce or one of its offices to register a distinctive trademark that will be used to stamp all of his products or imports.
- The shop owner and manager are jointly responsible for the precious metals and precious stones found in the shop, subject to the provisions of the law and its regulations, and one must prove their sources if requested to do so by official authorities, and it is prohibited for one to purchase these items from an unknown, minor, or suspect.
- Painted objects and clothes items must be stamped with the term painted, and if the size of the clothing or painted goods prevents stamping, each piece must be accompanied by a card containing the same declaration as well as the store owner's name in Arabic.

Trader's obligations and rights



Obligations

- The Saudi pound gold can only be coined with a special authorization from the Ministry of Commerce, and it must be imported from outside the Kingdom, with the importer responsible for returning it to its source.
- Owners of licensed stores must provide each buyer with a copy of the sales invoice and keep a copy of it, which includes the name of the store, its address, license number, commercial register number, telephone number, date of sale, weight, type, and comprehensive description of the occupant, the buyer's name, and the price of the works.
- If precious stones are used in jewelry, the invoice must include the name of the stone, its class, weight, color, cut shape, degree of purity, safety from breakage and scratching, and an indication of any flaws.
- The owner of the shop must keep records showing the sources of his precious metals, precious stones and their artifacts for a period of ten years, and they must prove their sources if the official authorities request them to do so.



Penalties

- Punishable by imprisonment for no more than two years.
- and a fine of no more than 400,000 riyals.
- Alternatively, one of these two penalties.
- Any fraud or deception in the type, weight, or caliber of precious metals or items painted, inlaid, or clothed with them, as well as any fraud or deception in the type, class, weight, or quality level of precious stones, or making a modification to a stamped caliber or dealing with it with knowledge thereof, or selling, displaying, or acquiring ingots or workpieces not stamped with the statutory mark, shall be punishable by one of the penalties provided for in the law.



Trader's rights



Bullion or precious metal artifacts that have been shattered owing to the irregularity of their calibers are returned to their owner, who has the option to re-export them to their source in the same form in which they were imported.



A person who has received a decision for violating the requirements of the law has the right to appeal to the board of grievances within sixty days of being informed of the punishment decision.



COMMERCIAL AGENCIES

Who is the agent?

Anyone who enters into a contract with a producer or is based in a country to do business in any kind of agency or distribution, whether as an agent or distributor.

Parties subject to the commercial agency law include:



■ Agents, distributors, importers, and commercial service representatives



■ Agents for national projects

Product guarantee

A formal commitment that involves the realization of the commodity for its intended use and defect-free, as well as the supply of extra or additional warranty services within a given time frame.

Ongoing maintenance

Maintenance is performed on a regular basis in accordance with the product's instructions, depending on the nature of the commodity's use.

Defect

Any flaw in a commodity that emerges from an error in its design, manufacture, production, storage, or transportation, or from a breach of accepted specifications and standards, reduces its value or utility.

Policy for agents

A document written in clear and understandable language that specifies the agent's obligations to the consumer, detailing his or her obligations regarding the provision of spare parts, maintenance, warranty, replacement and return policy, procedures for dealing with and resolving complaints, indicating the shelf life of the goods, scope and consumer rights in accordance with the product policy, and that does not violate the law.



Obligations (after-sales service)

■ Agency or distribution areas

The agent must be accountable to their commitments with the Kingdom's agency and distribution areas, as well as each city or governorate where he or she has a branch for sale, even if there are contracts with others.

■ Supply of replacement parts

The agent must always deliver the spare parts that customers require on a regular basis at reasonable prices. If there is an unusual demand, the agency must meet it at Reasonable Prices within fourteen (14) days.

■ Conditions of the agent's policy

The agent must develop policies for the provision of spare parts, maintenance, providing a product warranty, and the shelf life of the commodity, as well as abide by them towards the consumer and the ministry, provided that it details its obligations, scope, and consumer rights and places them prominently, and that they comply with the product policies and do not conflict with them.

■ Providing maintenance

The agent is dedicated to maintaining the commodity at a reasonable financial cost, and he or she must use professional skills and offer the required resources to assure the quality of maintenance.

■ The agent shall document the maintenance requests

- Schedule the commencement of the maintenance operation so that it does not exceed (7) days from the day the request is submitted.
- When the goods are delivered on time to the maintenance center for (non-periodic maintenance), the agent must specify the date of check and inspection work, followed by the date of completion for the maintenance work and its cost, provided that the method of setting the dates is documented in an independent document.
- The agent may complete the work (periodic maintenance) of the commodity within a period not exceeding that followed by the product, provided that the date of completion of periodic maintenance and its cost are determined within one hour of bringing the commodity to the maintenance center, and this is verified by an independent document signed by the parties.

■ Product warranty time

- The product warranty period for the commodity and the vehicle must be at least two years, or cover a distance defined by a ministerial decision for the vehicle, whichever is closer.
- Transporting the goods or shipping the vehicle covered by the product warranty.
- If the product covered- Transporting the goods or shipping the vehicle covered by the product warranty, if the warranty has a defect, the agent is required to transfer the item if it cannot be safely transported by normal means of transport to the agent's maintenance center and then return it to the consumer after the maintenance procedure.
- Transfer the items and return them to the customer after the maintenance procedure if the nearest service center of the agent or one approved by him is more than (100) kilometers away from the consumer's city or province of residence of which the agency has committed to shipping the goods.

■ Compensation to the consumer in the event of faulty goods or a vehicle

When the agent fails to repair a repeated defect, or more than one defect in the product or vehicle that is covered by the product warranty, three times, the consumer has the right to obtain a new replacement product or vehicle in the same category and specifications as the original good, or at the same value at the time of purchase, with a reasonable amount deducted for the use of the good or vehicle during the period of use.

■ Compensating the consumer in the event that components are unavailable or maintenance is delayed

If spare parts are not provided, or the agent exceeds the period of (14) days from the date of the consumer's request for rare parts, or the start of maintenance is delayed by (7) days, or there is a defect in the product covered by the product warranty, the agent shall provide an alternative commodity to the consumer from the category of consumer commodity, or perform an amount to the consumer equivalent to 400/ 1 of the commodity's value at the time of the request.

■ Sale and disclosure mechanisms

The agent must develop a procedural mechanism for the sale of goods, which includes a statement of the goods' delivery date and the consumer's obligation in the event of a delay, a product warranty booklet and technical instructions in Arabic, a statement of the prices of goods or vehicles, spare parts and their specifications, or any change or defect, provided that the additional vehicle parts (accessories) manufactured patrol.

■ Mechanism for resolving complaints

The agent must establish a section that accepts consumer complaints, as well as a complaint register in which all complaints are documented, and try to address to them in a timely and effective manner.



Trader's obligations and rights

Penalties

- Anyone who violates the terms of the commercial agencies law and its Executive Regulations will be fined not less than SAR 5,000 and not more than SAR 50,000, with the penalty published at the violator's expense.

Agent's rights

- In an emergency, the agent may impose restrictions on the supply of replacement parts to guarantee that customer's demand is satisfied after submitting a request to the ministry outlining the grounds for these restrictions in order to get approval.
- The agent or distributor may contract sub-distributors within the agency area, as long as the original agent or distributor remains liable for the legal responsibilities owed to the consumer.
- Within fifteen days of contacting the complainant, the agent may appeal the judgments of this authority to the Minister of Commerce.

VEHICLE, ACCESSORY, AND SPARE PART RECALL

Vehicle

- Motorcycles are examples of motorized machines that travel on roads and do not rely on railways, cables, or the like for movement.

Product

The vehicle on the road, as well as its accessories or spare parts such as tires, batteries, and others, must be included in the types and models used in the Kingdom, whether imported through a local agent or elsewhere.

Recall



A mandatory procedure carried out by the manufacturer and its local dealer in the event that a defect in any product is discovered by the manufacturer or a government agency in the Kingdom, the country of origin, or any other country in accordance with the requirements contained in the vehicle, accessory, and spare parts recall regulation.

User

Product Owner in the Kingdom.

Trader's obligations and rights

Obligations

- **The manufacturer and its local agent are required to notify the ministry in writing about any recall of a product within ten days of the start of the recall process, and to publicize the recall in more than one local newspaper to cover all regions of the kingdom within ten days of the start of the recall process, and not to close the recall file except with the permission of the ministry.**
- **The report of a local agent must include:**
 - Determine the products that must be recalled, as well as the number of each product imported and sold in the Kingdom.
 - A description of the defective product part, the reasons for the problem, and the risks that the deficiency may cause.
 - Only in the event of a car recall does the local dealer notify its customers by phone, registered mail, or e-mail.
 - The manufacturer obligates its local dealer to recall the product and repair or replace any defective parts free of charge and without regard to the warranty duration.
 - If the user's residence is more than 80 kilometers from the local agent's nearest approved workshop, the local agency will cover all transportation costs or send technicians to the user's residence.
 - The local agent is required to present the ministry with a monthly report on what has been accomplished during the recall process, including the number of products recalled and the number of products fixed.
 - The local agent is required to accept and process user complaints with care, and if the defect is repeated three times, the manufacturer is alerted, and a copy of the communication is given to the ministry within one week of the last complaint.

Penalties

- If the manufacturer or the local agent fails to call the product in accordance with the regulations, the local agent and the local manufacturer of the product will face the penalties set out in the Anti-Commercial Fraud Law and its executive regulations, as well as the ministry's right to stop granting the International Certificate of Conformity from the country of origin of the defective product.

Rights of the factory and the local agent:

After giving confirmation of compliance with the terms of the recall regulation of vehicles, their accessories, and replacement parts and within the authorized period, the factory and the local agent have the authority to remove commercial fraud and fault from the product.

Commercial information

- **Commercial declaration**
Commercial statements are explanations that must be placed on goods or products in a direct or indirect manner to identify them or their distinguishing characteristics.
- **Data that is required**
Key information that is placed on each unit of goods or products, such as the number of goods, their quantity, size, agent, capacity, weight, production date, completion date, country of manufacture, the elements included in their composition, the name of the manufacturer, and whether they are genetically modified, contain hazardous substances and how dangerous they are, or are treated with radiation, and the extent of their impact on humans, animals, and the environment.

Trader's obligations and rights

Obligations

- All assertions must be written in clear Arabic and may be written in another language, with the phrase underneath in Arabic.
- Medals, diplomas, awards, or honorary degrees of any kind may not be mentioned except in relation to the products to which these benefits apply, and in relation to the individuals and trade names who have acquired or whose rights have been transferred, and this must include a statement of their history, type, and the entity that awarded them.
- It is illegal to import or sell products that lack any of the required data.
- No statement, including the trademark, may be placed on the goods implying that the product originated in a geographical location other than its real origin.
- If the manufacturer has more than one factory in more than one country, he and the importer must specify the country in which the commodity was manufactured, and if the production stages are carried out in more than one country, the stages of production in each country must be specified, rather than simply mentioning the name of the entity where the main factory is located.
- The seller and the managers of companies, institutions, associations, and shops, as well as the producer or importer, are jointly and severally liable for all violations of the provisions of the commercial data system and its executive regulations that fall within their purview.

Penalties

- Anyone who violates the provisions of the commercial data law and its Executive Regulations will be fined not more than SAR 100,000, and if the offense is repeated, the punishment will be quadrupled, with the shop closed for a time not exceeding one year.

Businessmen's rights:

The producer or importer has the right to complete missing data or amend incorrect data if the violation does not impair its objectivity or the health of humans, animals, or the environment, and the solution does not contravene Saudi standard standards for the commodity.

Businessmen's rights:

Supply and essential materials (as determined by the supply provisions) are as follows:





Obligations (after-sales service)

■ Agency or distribution

The agent is accountable for his or her obligations even if he contracts with others, and he or she must comply with the agency and distribution regions in the Kingdom as well as in each city or governorate where he has a branch for sale.

■ Supply of replacement parts

The dealer must always deliver the spare parts that customers require on a regular basis at reasonable prices. If there is an unusual demand, the agent must meet it at reasonable prices within a reasonable time frame (14 days).

■ Conditions of the agent's policy

The agent must develop policies for the provision of spare parts, maintenance, providing a product warranty, and the shelf life of the commodity, as well as abide by them towards the consumer and the ministry, provided that it details its obligations, scope, and consumer rights and places them prominently, and that they comply with the product policies and do not conflict with them.

■ Maintain the property

-The agent is dedicated to maintaining the commodity at a reasonable financial cost, and he must use professional skills and offer the required resources to assure the quality of maintenance.

-The agent shall document the maintenance requests and schedule the commencement of the maintenance operation so that it does not exceed (7) days from the day the request is submitted.

-When the goods are delivered on time to the maintenance center for (non-periodic maintenance), the agent must specify the date of completion of the inspection and inspection work, followed by the date of completion of the maintenance work and its cost, provided that the method of setting the dates is documented in an independent document.

-The agent must complete the work (periodic maintenance) of the commodity within a period not exceeding that followed by the product, provided that the date of completion of periodic maintenance and its cost are determined within one hour of the commodity being brought to the maintenance center, as evidenced by an independent document signed by the parties.

The odd circumstance:

The unusual situation is decided by a resolution of the Minister of Commerce to take all means to identify the price of the unusual situation, monitor the markets, refrain from raising prices or concealing ration materials, and impose regular penalties on anybody who causes any crisis.



Trader's obligations and rights

Obligations

- The wholesaler and retailer must declare the quantity of ration material warehouses.
- Cooperate with Ministry of Commerce inspectors by entering and inspecting ration material stores and warehouses, as well as supplying real-time ration statistics on the quantities and pricing of available ration supplies.
- In exceptional circumstances, importers of ration materials should interact with the Ministry of Commerce to determine the reality of the supply situation in order to develop appropriate processes that would avoid crises by providing adequate quantities of supplies.
- Wholesalers and retailers must comply with the pricing of materials issued in the extraordinary case decision, pursuant to the rules of the ration legislation, not hide them, and commit to putting a price tag on them.
- The price mentioned on the price tag must correspond to the price at the accountant.
- Wholesalers and retailers must continue to sell.

Penalties

- **If the offense is repeated more than twice, a fine of SAR 1,000 up to 5,000 and the closure of the shop for a week will be imposed:**
 - Price increases in established markets.
 - Not putting a price on the things being offered.
 - Refrain from selling or from issuing an invoice.
- **Anyone who loses the weight of bread more than twice will be fined 500 riyals the first time up to 6000 riyals, with the shop closed for three days if the infraction is repeated more than twice.**
- **One is was fined 1000 riyals for the first offense and up to 10,000 riyals for subsequent offenses, and the penalty judgment was published at his expense in three local newspapers:**
 - Those who have abstained from acting as merchants or sellers in response to the Ministry of Commerce's directives.
 - Each trader either gave false information to the Ministry of Commerce or failed to supply the necessary data.

Trader's obligations and rights

Penalties

It is punishable by a fine ranging from 1000 riyals to 30,000 riyals for the second violation, and closing the facility for a period not exceeding ninety days for the third violation, with the disbursement of the amount of flour allocated to the violator suspended during the closure period, for one of the following two violations:



- Refilling flour or using it for purposes other than those designated in the plant that relies on state-subsidized flour for manufacturing.



- In excess of (5) percent of the amount allowed to the establishment per week in flour, dough, or bread.

Trader's rights

In most circumstances, the pricing of food materials are subject to free competition between traders and dealers.

Money laundering prevention

Money laundering

It is the commission or attempt to commit any act with the intent of concealing or disguising the source of money gained in violation of Sharia or the law and making it appear legal.

Obligations

- Customers should be subjected to the Know Your Customer principle and due diligence procedures.
- Turn on the reporting of odd and suspected transactions to the General Directorate of Financial Investigations using the approved form.
- Examining record retention according to the law-specified period.
- Follow the ministry's guidelines, including placing a communication dashboard with the General Directorate of Financial Investigations in two areas that are not accessible to clients.
- Validation of the implementation of suitable anti-money laundering policies, procedures, and controls (applicable to institutions designated by the anti-money laundering department).

Trader's obligations and rights

Penalties

- Issuing a written warning for the infraction.
- Issue an order requiring strict adherence to precise guidelines.
- Make an order requiring periodical reports on the steps taken to correct the infraction.
- Each infraction will result in a fine of no more than five million Saudi riyals.
- Prevent the violator from working in sectors under the supervision of the Supervisory Authority for a time designated by the Supervisory Authority.
- Powers of Directors, members of the board of Directors, members of executive or supervisory management, or controlling owners are limited, including the appointment of one or more temporary observers.
- Suspend directors, members of the board of directors, executive or supervisory management, or propose their removal.

Penalties

- Stopping the activity, employment, profession, or product, limiting or prohibiting its use.
- Suspension, limitation, withdrawal, or cancellation of a license.

Commercial concealment:

- **Commercial concealment:**
Allowing a non-Saudi to work for his or her own account for a Saudi or a foreign investor in an activity that is banned to him, whether through the use of his name, license, commercial register, or any other means.
- **The concealed:**
It is a non-Saudi person working for himself or herself under the guise of a Saudi or a foreign investor.
- **Concealer**
He is a Saudi or a foreign investor who allows a non-Saudi to work for himself or herself.

Trader's obligations and rights

Obligations

- It is not authorized for a Saudi to allow a non-Saudi to work for him in any activity or capacity.
- A foreign investor may not allow a non-Saudi to work for himself or herself.

Penalties

The person convicted of committing the crimes specified in the anti-commercial concealment law shall face imprisonment for up to five years and a fine of up to 5,000,000 riyals, as well as the seizure and confiscation of the perpetrators' illegal funds following the issuance of final court judgments against them, in addition to other secondary penalties such as closing the facility at the scene of the crime, dissolving the activity, and deleting the data. The financial fine considers the extent of the economic activity at the scene of the crime, its income, the duration of the crime, and the repercussions of the crime).

Businessmen's rights:

- Receiving their reports and complaints about anti-concealment law violators.
- To safeguard them from unfair competition perpetrated by those who conceal, the Ministry of Commerce and its partners will have a supervisory role in detecting violators of the anti-concealment law.

Trader's obligations and rights

Energy efficiency :

- **The energy efficiency program**
is a comprehensive national program focused on the creation of laws and procedures to assure compliance with Saudi norms and standards.
- **Tire efficiency certificate**
A card affixed to the vehicle frame reveals the amount of potential fuel savings as well as the frame's resistance to sliding on a wet surface.
- **Card for fuel economy**
On a light vehicle weighing less than 3500 kg, a card is affixed that indicates the vehicle's energy efficiency.
- **Electrical appliance energy efficiency card** A label on the product displaying the energy consumption efficiency of electrical appliances according to the model shown in the Saudi standard standards for the product.
- **Standard requirements**
It is a document that outlines the requirements, regulations, guidelines, and instructions that must be accessible for a product or service, in order to achieve the aim of use and adapt to the prevailing conditions, protect the consumer's health and safety, and conserve the environment.

Trader's obligations and rights



Obligations

- If a product does not meet the established standards, it is deemed adulterated.
- Anyone who manufactures, produces, acquires, sells, or offers products that do not meet recognized specifications and requirements is in violation of commercial fraud laws.
- Anyone who uses utensils, containers, wrappers, packaging, or labels meant for sale in violation of established specifications and regulations is violating the laws of commercial fraud law.
- Anyone who packs, distributes, stores, or transports a product in contravention of the permitted specifications and standards is in breach of the commercial fraud law's prohibitions.
- Any legal entity that manufactures, imports, sells, or distributes electrical goods, cars, or tires is required by the Saudi Standards, Metrology, and Quality Organization to obtain a license to issue an efficiency card.



Penalties

Anyone who commits one of the infractions connected to noncompliance with approved standard specifications will face the following penalties: Imprisonment for no more than two years or a fine of no more than 500,000 SAR, or both.



Services rendered

1 Trade Name

It is the name of a commercial endeavor that has been legally registered and is used in contracts and official positions.

2 Commercial Register

A service that allows customers to issue an electronic commercial record in 180 seconds for institutions and 30 minutes for businesses without having to go through the ministry.

3 Business entity

The distinction between establishment and company

	Company	Establishment
Incorporation	Through the exception of one-person businesses, it is owned by two or more persons, whether with money or work.	It is owned by one person, who is also in charge of it.
Financial responsibilities	With the exception of solidarity businesses and basic suggestion companies, the repayment of financial obligations is limited to the limits of the partner's share.	The institution has no independent financial account, no shares, and is only followed by the owner.
Borrowing and financing	An entity that is separate from its partners, as this improves its access to financial financing or loans.	Because the institution does not have its own financial liability, the loan or funding is delivered straight to the institution's owner.
Financial statements	Required to submit the financial statements except for partnership companies and limited partnerships.	It is not required to submit financial statements.

Conversion from an establishment into a company

- 1 Access to the site for Corporate Services.
- 2 Choose the "transform an establishment to a company" button.
- 3 To add the commercial register to be transferred to a company, click the add facility icon.
- 4 Fill in the blanks, then click the "Add" button.
- 5 Select the icon to keep the record and date, as well as the name and make it the primary one.
- 6 Determine the type of business.

Services rendered

- 7/ The type of activity is decided on once the type of company is determined.
- 8/ Determine the number of years the commercial registration has been in operation.
- 9/ Total capital calculation (less than 5 million or more than 5 million)
- 10/ Determine the primary location of the business register to be transformed.
- 11/ Select the "see Initial Contract Details" option.
- 12/ Click the "finish the contract" icon.

4 Service for consulting professional licensing

It is the profession in which a person engages in delivering a service to others on his own account, without a work contract with the beneficiary of the service, subjecting him to his subordination, accountability, and management.

5 Service of commercial agency

A brief overview of commercial agency contract registration:

The commercial agency in relation to the application of the commercial agencies system and its amendments means anyone who contracts with the parent producer company or whoever performs its place in its country of origin to carry out commercial business. Whether he is an agent or distributor in any form of agency or distribution, in exchange for profit, commission, or facilities of any kind, and the commercial agent working in the kingdom must be a Saudi national, whether he is an agent or distributor in any form of agency or distribution, and Saudis serve on its boards of directors and directors, as well as those with the authority to sign on its behalf.

Commercial agency contracts are classified as follows:



Commercial franchise



Commercial agent



Distribution



Service contract



Internal distribution

1 Commercial franchise

- A contract in which the franchisor **agrees to grant a franchise** to another **party in exchange** for material consideration, allowing the franchisee to use one or more intellectual or industrial property rights or technical knowledge to produce a commodity or distribute its products or services under the grantor's brand in accordance with his instructions and supervision.



Services rendered

2 Commercial agent

- It is the entity charged with selling a good or service to a certain corporation in exchange for a set amount or percentage of earnings.

3 Distribution

- It is a business that sells things on its own.

4 Service contract

- It is an agreement in which the contractor agrees to perform work for a set price, such as transportation contracts of all sorts, airport ground handling, and other services.

5 Internal distribution

- A Saudi dealer works with a Saudi corporation or factory that sells these products (the parties to the contract are Saudi).

6 Certificate of Origin

The Ministry of Commerce issues and certifies a document confirming that items shipped abroad are of national origin or have achieved the status of national origin.

7 Commercial Attaches Overseas

- Commercial accessories is glad to offer a variety of services to Saudi firms and businessmen operating overseas, **including the following:**

■ Raising investor awareness abroad and advising and guiding investors and businessmen.

■ Providing statistics and information to target investors about the investment environment, available prospects, and licensing methods.

■ Allowing non-oil exports from Saudi Arabia.

■ Contribute to overcoming and resolving some of the issues confronting Saudi exports overseas by collaboration with relevant authorities.

Management of trade treatments

1 Anti-dumping

2 Anti-subsidy

3 Increase in imports (protection)

What is dumping?

- Dumping is pricing discrimination, and a product is considered drowned when it is imported into GCC markets at a price lower than the selling price in the exporting country.

Pillars of the trade treatments complaints

Services rendered

Anti-dumping

- There's dumping.
- The existence of injury or the risk of damage.
- Negative relationship.

Anti-subsidy

- Allocated government subsidy.
- The existence of injury or the risk of damage.
- Negative relationship.

Increase in imports (protection)

- Significant increase in imports.
- Enormous harm will happen or there is risk it will happen.
- Negative relationship.

Management of agreements

- The trader has the right to evaluate the international trade and investment treaties signed and joined by the Kingdom of Saudi Arabia with a variety of nations by visiting the following link:

www.mc.gov.sa





وزارة التجارة
Ministry of Commerce